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Asian Technology | Asia Pacific

Straight from Apple Park:
Thoughts on Product Launch
Event – "Awe Dropping"

Key Takeaways

- The introduction of AirPods Pro 3, Watch 11/SE3/Ultra3, and iPhone 17 family was mostly in line with our expectations
- Pricing of iPhone 17 family is the same as that of the iPhone 16 at launch last year – but for 256Gb storage instead of 128Gb - Positive
- No further announcement about Apple Intelligence - in line with our expectations
- Next to monitor is initial sell-through feedback after all new devices are officially available on September 19

iPhone 17 Air model features an ultra-thin 5.6mm thickness and comes designed with an A19 Pro processor, same as the iPhone 17 Pro series, single rear 48MP camera and eSIM only. The pricing starts at US\$999 for 256GB storage.

iPhone 17 Pro/Pro Max is newly designed, with aluminum alloy unibody casing with ceramic shield protected. Thermal management is also upgraded to vapor chamber (VC). The iPhone 17 Pro pricing starts at US\$1,099, at 256GB, but eliminates the 128GB SKU.

The iPhone 17 series focuses on the new Center Stage front camera of 18MP for all 4 models, up from 12MP. The rear cameras for Pro models are upgraded to 48MP for all three cameras equipped.

Our take: We currently estimate total iPhone 17 builds in 2H25 are 80-85mn units, flat YoY. Stable pricing with notable camera, thermal design and solid enclosure upgrade could drive the replacement demand, despite no major breakthrough announcement of Apple Intelligence.

While we await initial sell-through feedback, we view **FII** (sole metal casing supplier for iPhone 17 Pro), **AVC** and **AAC** (VC thermal), and **Largan** (camera lens) as major beneficiaries.

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Apple Supply Chain

Exhibit 1: iPhone supply chain

Apple Product	Company	Ticker	Product	Rating	Share price (LC)	2025e sales contribution				
						Total iPhone	iPhone (Low-end)	iPhone Pro (High-end)	iPhone SE	Legacy iPhones
iPhone	Flexium	6269.TW	FPC/PCB	NC	62.90	30-35%	10-15%	5-10%	5-10%	5-10%
	Zhen Ding	4958.TW	FPC/PCB	E	167.00	60-65%	15-20%	15-20%	5-10%	10-15%
	Pegatron	4938.TW	Assembly	E	70.70	50-55%	15-20%	0-5%	5-10%	20-25%
	Hon Hai	2317.TW	Assembly	O	207.50	35-40%	5-10%	15-20%	<5%	5-8%
	Largan	3008.TW	Lens	O	2,380.00	40-45%	10-15%	15-20%	0-5%	5-10%
	Genius	3456.TW	IC substrate/PCB	E	445.00	30%	5-10%	10-15%	0-5%	5-10%
	Kinbus	3189.TW	IC substrate/PCB	N	NA	20-25%	5-10%	10-15%	0-5%	0-5%
	NYPGB	8046.TW	IC substrate/PCB	U	184.00	<5%				
	Unimicron	3037.TW	IC substrate/PCB	E	135.00	5-10%	0-5%	0-5%		0-5%
	GIS	6456.TW	Touch module	N	NA	0-5%	0%	0%	0%	0-5%
	Wistron	3231.TW	LCM	O	116.00	0-5%	0%	0%	0-5%	0-5%
	TSMC	2330.TW	AP foundry	O	1,200.00	15-20%	10%	5-8%	1%	1%
	Novatek	3034.TW	OLED DDI	O	432.00	5-10%				
	Tong Hsing	6271.TW	3D sensor wafer processing	E	113.50	5-10%	3-5%	0-3%	0-3%	3-5%
	Delta	2306.TW	Power choke	O	794.00	~10%				
	Yageo	2327.TW	Passive components	+	136.50	~5%	0-5%	0-5%	0-5%	0-5%
	VPEC	2455.TW	PA op-amp	E	160.00	30-40%				
	Win Semi	3105.TWO	VCSEL and PA foundry	U	91.20	35-40%	20%	10-15%	0-3%	3-5%
	Chipbond	6147.TWO	Driver IC packaging	NC	54.90	5-10%	3-5%	0%	3-5%	0-3%
	AAC	2018.HK	Acoustics/haptics	O	43.44 HKD	25-30%	5-10%	10%	2%	5-10%
	Lingyi Itch	002600.SZ	Precision components	U	13.75	30%				
	Luxshare	002475.SZ	Acoustics/wireless charging/cable	O	47.71	35-40%	10-15%	5-10%	1-3%	8-10%
	Fii	601138.SS	Metal casing	O	48.79	25%	5-10%	10-15%	<3%	<5%
	USI	601231.SS	SIP service	E	18.47	35%				
	JCET	600594.SS	SIP service	U	36.61	30%				
	Goertek	002241.SZ	Acoustics	U	31.18	10-15%	5%	5%	1%	3-5%
	Lens Tech	300433.SZ	Cover glass/casing	E	29.83	35%	15%	5%	7%	8%
	BOE	000725.SZ	OLED display	O	4.10	~5%	3%	0%	0%	2%
	Sunny Optical	2382.HK	Lens	O	78.90 HKD	<5%	1-2%	1-2%	<1%	1-2%
	LG Innotek	011070.KS	Camera module	O	169,700.00	70-80%	20-30%	20-30%	10%	0-10%
	LG Display	034220.KS	LCD display	E	11,850.00	20-30%	0%	5-10%	0%	0%
	Samsung SDI	006400.KS	Battery	E	201,500.00	5-10%	4-5%	4-5%	4-5%	4-5%
	Samsung	005930.KS	OLED display	O	71,500.00	5-10%	10%	5-10%	0%	5-10%
	JAEL	6807.T	Connector	E	2,525.00	20%	7%	10%	2%	2%
	Minebea Mitsumi	6479.T	LED backlight/camera actuator	+	2,640.00	20%	3%	5%	6%	6%
	Sharp	6753.T	LCD display/camera module	NC	870.00	5-10%	0%	0%	0-5%	3%
	Murata	6981.T	MLCC/MetroCirc/WLAN	E	2,457.50	20%	5-10%	5-10%	2%	3%
	Alps Alpine	6770.T	Camera actuator/haptics	U	1,815.00	20%	5-10%	5-10%	2%	3%
	Sony	6758.T	CMOS sensor	O	4,217.00	4-5%				
	TDK	6762.T	Battery/sensor	O	1,995.00	20%	5-10%	5-10%	2%	3%
	Hirose	6806.T	Connectors	O	19,105.00	10%	4%	2%	1%	2%
	Taiyo Yuden	6876.T	MLCC	E	3,004.00	10%	4%	3%	1%	2%
	Kyocera	6971.T	MLCC/connector/crystal	E	2,020.50	5%	1-2%	1-2%	1%	1%

Source: Company data, Morgan Stanley Research estimates (e); share prices as of September 9, 2025. [-] indicates the data for this company have been removed from consideration because under Morgan Stanley policy and/or applicable regulations, Morgan Stanley may be precluded from issuing such information with respect to this company at this time.

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Total	3,701		847			1712	

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/09/2025)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$43.44
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb58.65
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$42.12
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb10.86
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb18.15
Eoptolink Technology Inc Ltd (300502.SZ)	O (05/20/2025)	Rmb315.32
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$449.00
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.67
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb30.18
Largan Precision (3008.TW)	O (03/31/2025)	NT\$2,380.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb11.24
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb13.21
Q Technology (Group) Company Ltd (1478.HK)	E (11/10/2023)	HK\$14.51
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb92.63

Shenzhen Transsion Holdings Co Ltd (688036.SS)	O (10/24/2023)	Rmb95.00
Sunny Optical (2382.HK)	O (07/10/2025)	HK\$78.90
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (10/09/2024)	Rmb167.93
Wingtech Technology Co Ltd (600745.SS)	E (11/10/2023)	Rmb41.95
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$56.20
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb88.71
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$45.88
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb98.44
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb25.85
Zhongji Innolight Co Ltd (300308.SZ)	O (11/06/2023)	Rmb359.29
ZTE Corporation (0763.HK)	E (03/11/2024)	HK\$32.54
ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb40.66
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$1,020.00
Advantech (2395.TW)	O (01/20/2021)	NT\$340.50
AirTAC International (1590.TW)	O (04/16/2025)	NT\$792.00
AU Optronics (2409.TW)	E (09/15/2024)	NT\$12.45
Bizlink (3665.TW)	O (03/10/2025)	NT\$1,090.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.10
BOE Varitronix Ltd (0710.HK)	O (06/20/2023)	HK\$5.49
Chenbro (8210.TW)	O (07/23/2025)	NT\$592.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$576.00
E Ink Holdings Inc. (8069.TWO)	O (08/08/2025)	NT\$245.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$37.50
Hiwin Technologies Corp. (2049.TW)	U (05/12/2025)	NT\$220.50
Innolux (3481.TW)	E (04/07/2025)	NT\$13.75
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$3,335.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb29.83
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$138.50
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb14.81
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.38
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb9.48
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb69.97
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.35
Asustek Computer Inc. (2357.TW)	E (04/23/2025)	NT\$661.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$28.20
Giga-Byte Technology Co. Ltd. (2376.TW)	O (12/15/2022)	NT\$284.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$465.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb58.03
Lenovo (0992.HK)	O (02/05/2025)	HK\$10.81
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,525.00
Nan Ya PCB (8046.TW)	U (12/21/2022)	NT\$184.00
Pegatron Corporation (4938.TW)	E (03/07/2022)	NT\$70.70
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$262.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb45.88
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb173.95
Unimicron (3037.TW)	E (04/15/2025)	NT\$135.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$116.00
Wiwynn Corp (6669.TW)	E (09/09/2025)	NT\$3,010.00
Yageo Corp. (2327.TW)	++	NT\$138.50
Zhen Ding (4958.TW)	E (08/02/2022)	NT\$167.00
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$961.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$708.00

Catcher Technology (2474.TW)	E (05/22/2024)	NT\$190.50
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$784.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,000.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb48.79
Foxconn Technology (2354.TW)	U (04/23/2025)	NT\$69.50
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb31.18
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$207.50
LandMark Optoelectronics Corporation (3081.TW0)	E (01/09/2025)	NT\$473.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb13.75
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$140.50
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb47.71
Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT\$127.00
Tong Hsing (6271.TW)	E (03/18/2019)	NT\$113.50
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$160.00

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* Historical prices are not split adjusted.